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European Integration at the Crossroads: A Review Essay on the 50th Anniversary of Bela Balassa's *Theory of Economic Integration*

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Bela Balassa's Theory of Economic Integration*, published fifty years ago, is a remarkable, yet little known book. This essay reviews developments in the economic literature and in the process of European integration since the book's publication, showing that it was incredibly prescient. It anticipated by more than twenty years the modern literature on economic integration that emphasizes scale economies, imperfect competition, and economic geography. It also predicted that monetary union cannot function properly without political unification, a condition well illustrated by the recent euro-debt crisis that is likely to be a watershed in the history of European integration.* (*JEL* B31, F15, F36, G01)

1. *Introduction*

The year 2011 is likely to be a watershed in the history of European integration with the euro-debt crisis having started a process going either forward toward political unification or backward in time if the monetary union collapses. As it happens, the year also marks the fiftieth anniversary of a remarkable book by Bela Balassa (1961a), *The Theory of Economic Integration*, which anticipated future developments both in the economic literature and in the process of European integration, observing, for instance, that monetary union cannot function properly without political integration.[1]

Balassa's book was published in the early days of European integration, just after the creation of the European Economic Community (EEC) by six countries and of the European Free Trade Association (EFTA), the free-trade area (FTA) between the United Kingdom and six other countries (sometimes referred to as the "Outer Seven" by contrast to the "Inner Six" or simply "The Six" EEC members) that were either unable

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[1] Balassa also published a companion article in 1961 (Balassa 1961b).

or unwilling to join the EEC.[2] In 1961, the future of these two groupings was, by definition, uncertain. No one could have predicted at the time that the European Union would gradually widen from six to (currently) twenty-seven members, gradually absorbing five of the "Outer Seven" countries, or that EU integration would succeed in deepening from a mere customs union to an economic and monetary union (EMU). Nonetheless, Balassa rightly predicted that the EEC would be superior to EFTA, that it would go on to become a common market, and that once this was achieved it may need to go further in the process of integration.

The book marks a turning point in the literature on regional economic integration between the early writers and the modern ones. The early literature on which the book builds includes contributions by leading figures such as James E. Meade (1953, 1955, 1957), Bertil Ohlin (International Labor Office 1956), Jan Tinbergen (1954, 1959), Maurice Allais (1958, 1960)—all future Nobel Prize winners—as well as Jacob Viner (1950), Gottfried Haberler (1957), Harry G. Johnson (1957, 1958), Tibor Scitovsky (1958), and Robert Triffin (1960). The modern literature started in the late 1980s and early 1990s with the introduction of imperfect competition (Paul R. Krugman 1987) and economic geography (Krugman 1991) in the field of economic integration, two topics that Balassa's book largely anticipated.

Yet despite its anticipatory quality, Balassa's book was largely ignored by subsequent authors.[3] For instance, Richard E. Baldwin and Anthony J. Venables (1995), the most widely cited survey of the literature on regional economic integration, makes no mention at all of the book or its companion article.[4] The present review should therefore be seen partly as an attempt to set the record straight.

The book, after an introductory chapter that discusses the concept and types of integration, is divided into three parts. Part 1 focuses on the impact of integration on static efficiency, i.e., the allocation of resources within the union and between the union and the rest of the world. Part 2 brings in the dynamic effects of integration, with an emphasis on issues of market size and scale economies. Finally, part 3 analyzes the consequences of integration for the location of production and for regional policy as well as for social, fiscal, and monetary policy. As its title suggests, the book is mainly conceptual. Yet as Balassa remarks in the preface—where he acknowledges comments by Haberler, Johnson, Charles P. Kindleberger, Triffin, and Viner—the origin of the book lies in his long-standing interest in problems of economic integration in Europe.[5] Hence each chapter of the volume combines a presentation of a particular concept with an application to Europe.

[2] The EEC became the European Community (EC) in 1993 and the European Union in 2009. The three terms will be used interchangeably in this article, although they cover somewhat different institutional realities.

[3] Although it only gives a small flavor of the book's rich contribution, the companion article (Balassa 1961b) is surprisingly far more often cited by contemporary authors than the book. A search on Google Scholar on August 22, 2011, indicated 1,543 citations for the article (making it Balassa's third most cited article behind Balassa 1964 and 1965) and barely 21 for the book. There are many possible reasons for this state of affairs. One is simply that Google Scholar is less good at identifying book citations. A second is that the book is old and not available in many university libraries. Finally, scholars rarely seem to go to libraries nowadays, preferring instead to access journals online.

[4] Baldwin and Venables (1995) only cite very briefly two subsequent articles by Balassa (1974) and Balassa and Ardy Stoutjesdijk (1975).

[5] Balassa was born in Hungary in 1928. He left his country in 1956 after the failed revolution to which he participated actively. In 1957, he joined the doctoral program at Yale University, where he completed the requirements for the Ph.D. in economics in less than two years and where he was an assistant and later associate professor between 1959 and 1967. Thereafter he was Professor of Political Economy at Johns Hopkins University and a consultant to the World Bank until he passed away in 1991.

This review essentially follows the book's organization. Section 2 provides a discussion of the concept and types of integration. Section 3, which corresponds to parts 1 and 2 of the book, analyzes the effects of the removal of barriers to the free movement of products and factors of production on (1) the allocation of resources, (2) growth, and (3) the location of production. Section 4, which corresponds to the book's part 3, examines whether, having succeeded in removing barriers to movements of products and production factors among its members, integration can be sustained economically and politically without supranational institutions and policies or even political unification in the case of monetary union.

I will also follow the book's approach in dividing each section in two parts, one dealing with theory and the other with empirical evidence. As far as the latter is concerned, I shall restrict myself to European integration although I am perfectly aware of its sui generis nature. Nonetheless, along with others, I believe that it holds interesting lessons for other regions.[6]

2. *Economic Integration: General Considerations*

2.1 *Theory*

According to Balassa, the term "economic integration" refers to both a process and a state of affairs.[7] Viewed as a process, it covers "measures designed to abolish discrimination between economic units belonging to different national states" (p. 1); regarded as a state of affairs it is the "absence of various forms of discrimination between national economies" (p. 1). His book and the present article focus exclusively on the former meaning.

Balassa distinguishes five degrees of integration—he later used the expression "stages of integration" (Balassa 1976), which is still widely used in the literature—that are increasingly demanding in terms of removal of discriminatory measures: a FTA, where tariffs are eliminated between member countries; a customs union (CU), where, in addition, member states establish a common external tariff; a common market, where not only trade restrictions but also restrictions on factor movements are eliminated; an economic union, where, in addition to the free circulation of products and factors of production, member states undertake "some degree of harmonization of national economic policies, in order to remove discrimination that was due to disparities in these policies" (p. 2); and complete economic integration, which entails "the unification of monetary, fiscal, social, and countercyclical policies" and "the setting-up of a supra-national authority whose decisions are binding for the member states" (p. 2).

Balassa's description of integration according to stages is somewhat misleading in that it seems to imply a rigid sequential process. In reality, there is no reason to believe that the process of integration must start with a FTA, nor that if it does it will necessarily evolve toward higher stages.

On the contrary, it is likely that FTAs will remain FTAs and that, unless the process of integration begins at least with a CU, it is unlikely to evolve to more advanced stages. The reason is that going from a FTA to a CU constitutes a huge political step. It requires that the participating countries agree to put in place a common trade policy consisting of at least a common external tariff. The fundamental difference between FTAs and CUs in terms of the pooling or loss of sovereignty

6 See L. Alan Winters (2010).

7 In the remainder of this review, I will stop using "Balassa (1961a)" and use instead simply "Balassa" to refer to his book. Similarly, unless otherwise specified, all quotes refer to passages from the book.

that member countries are willing to accept is what explains that less than five percent of all the preferential trade agreements (PTAs) that have been notified to the GATT/WTO are CUs rather than FTAs.[8] Clearly, many countries are willing to sign up free trade agreements but very few are ready to take the extra step of pooling sovereignty over their trade policy, even with their closest trading partners.[9]

This suggests that the term "economic integration" covers two very different types of situation, each with a different objective: one driven mainly or entirely by commercial motives and the other that is not simply commercially motivated but also politically driven. Clearly, FTAs belong to the former category, whereas economic unions and complete economic integration fall into the latter. But to which category do customs unions and common markets belong?

Going back to Viner's classic work, *The Customs Union Issue*, the economic literature has generally treated the first two stages of integration, FTAs and CUs, as almost synonymous. In fact, Viner (1950) only devoted a couple of pages to FTAs that he regarded simply as incomplete or imperfect customs unions, with no significant economic difference between the two.[10] The only major difference between FTAs and CUs discussed in the subsequent economic literature, including by Balassa (who devotes an entire appendix to the issue), relates to the possibility of "trade deflection" arising from disparities in (external) tariffs between FTA members.

Although the main purpose of Viner's study was "to throw some light on the possibilities and the limitations of customs unions as a method of regulating international commercial relations" (Viner 1950, p. 3), he was fully aware of the relationship between customs and political unions. His book contains a chapter examining whether customs unions follow or precede political unions where he concluded that political unions typically come first and that the German Zollverein, where the customs union preceded political union, was a special case.

This suggests that CUs (and by extension common markets) can and should be studied from two different angles. The first is purely commercial and treats CUs (and sometimes also common markets) essentially like FTAs, the emphasis being on the removal of trade barriers between the partners rather than on the existence or not of a common policy among these partners. This trade angle is the subject of the literature on "regional trade agreements" (RTAs), which focuses on two

[8] According to the WTO website, there were about 180 PTAs notified to the WTO under GATT Article XXIV that were in force as of August 16, 2011. Of these, eight were customs unions: the Caribbean Community and Common Market (CARICOM), the Central American Common Market (CACM), the Eurasian Economic Community (EAEC), the European Community (EC), and the Southern African Customs Union (SACU) plus the three bilateral agreements between the European Community and respectively Andorra, San Marino, and Turkey.

[9] Take the case of the United States. As of August 16, 2011, it was party to eleven PTAs notified to the WTO under GATT Article XXIV, all of them FTAs, such as the North American Free Trade Agreement (NAFTA). It is difficult to imagine that the United States would be willing at some point to share sovereignty over its trade policy with its partners and turn one of its FTAs, say NAFTA, into a CU.

[10] The reason for Viner's scant treatment of FTAs must surely be attributed to the fact that the term "free-trade area" was only introduced shortly before completing his book, whereas the notion of "customs union" dates back at least to the nineteenth century. See Kerry Chase (2006) for a fascinating account as to how and why, as already noted by Viner (1950, footnote 7, p. 113), references to FTAs in Article 44 of the Havana Charter, equivalent to Article XXIV of the GATT (the provision that permits the creation of FTAs and CUs), only made their first appearance in the final draft of the Charter in 1948. All previous drafts only considered customs unions as the sole possible form of preferential arrangement.

issues:[11] the welfare implications of RTAs for their members, an issue first raised by Viner (1950); and whether trade blocs serve as "building blocks" or "stumbling blocks" for the worldwide freeing of trade and whether regionalism is compatible with multilateralism, a question first posed by Jagdish Bhagwati (1993). The literature on trade integration is the subject of excellent surveys by Baldwin and Venables (1995) and Arvind Panagariya (2000).[12]

The second angle covers broader economic and political matters than simply the removal of barriers. It corresponds to the literature on economic integration—as opposed to trade integration—to which Balassa's book firmly belongs and that focuses on two issues:[13] the welfare implication of integration for its members; and whether customs unions (and common markets) lead to higher degrees of integration with increasingly demanding supra-national institutions and policies.

2.2 *European Integration*

The difference in objectives was the reason for the division of Western Europe round 1960 in two groupings: the six founding EEC members "determined to lay the foundations of an ever closer union among the peoples of Europe" (Treaty of Rome 1957); and the seven original EFTA members simply "determined to facilitate . . . the removal of trade barriers and the promotion of closer economic cooperation between [the countries of Europe]" (Stockholm Convention 1960).

The contrast between the EEC's political objective and EFTA's purely economic objective translated into different choices of integration: "establishing a common market and progressively approximating the economic policies" for the EEC members; and the creation of a FTA for EFTA members.

In order to fulfill its objective, the European Union established early on a number of Community institutions and common policies. There are four main Community bodies. The first is the Commission, a supranational body with its own power of decision and tasked with the duty of "guardian of the Community interest." The Commission initiates all EU legislation and executes it. To become effective, all EU legislative proposals must be adopted by the Council, the body that represents the member states at ministerial level. Over the years, the Parliament (initially called the Assembly), the body representing the citizens of the states, has also gained substantial power in the legislative process. The fourth Community institution is the Court of Justice, a supranational body in charge of upholding and interpreting EU law. Although EU institutions have greatly evolved and expanded since the original

[11] The origin of the expression "regional trade agreement" is unclear. The Havana Charter contained an article on Preferential Agreements for Economic Development and Reconstruction (Article 15) that includes a reference to "regional preferential agreements." However this article was not part of the GATT and the term "regional" disappeared from the official trade vocabulary, despite the fact that Article 44 of the Havana Charter dealing with FTAs and CUs subsisted in the GATT as Article XXIV. Kenneth W. Dam (1963) seems to have been the first to describe FTAs and CUs falling under GATT Article XXIV as "regional economic arrangements," presumably because all the agreements that existed at the time were among European or Latin American trading partners. The term "regional trade agreement" was used officially by the GATT/WTO for the first time in February 1996, when the WTO established the Committee on Regional Trade Agreements to examine FTA and CU agreements notified to the WTO. The fact that more and more RTAs lack a regional dimension has led many scholars to prefer the expression "preferential trade agreements" (PTAs) to describe them.

[12] Baldwin and Venables (1995) focus on RTAs among geographically proximate partners, which they call "regional integration agreements" (RIAs) and study FTAs, CUs, and common markets. Panagariya (2000) examines only FTAs and CUs.

[13] I interpret the fact that neither Baldwin and Venables (1995) nor Panagariya (2000) mentions Balassa's 1961 book or article as evidence that their surveys deal with trade integration rather than integration more generally.

TABLE 1
THE HISTORY OF EUROPEAN INTEGRATION: EU AND EFTA

Year	EU	EFTA
1958	Belgium, France, Germany, Italy, Luxemburg and Netherlands join	
1960		Austria, Denmark, Norway, Portugal, Sweden, Switzerland and the UK join
1961		Finland joins as associate member
1968	Customs union completed	
1970		Iceland joins
1973	Denmark, Ireland and UK join	Denmark and UK leave
	EU-EFTA free trade area created	
1979	European Monetary System (EMS) created	
1981	Greece joins	
1986	Portugal and Spain join	Portugal leaves; Finland full member
1991		Liechtenstein joins
1993	Common/single market (largely) completed	
1995	Austria, Finland and Sweden join	Austria, Finland and Sweden leave
1999	Single currency (the euro) created	
2004	Cyprus, Czech Republic, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia join	
2007	Bulgaria and Romania join	

Treaty of Rome, their basic structure has remained fairly stable.

The scope of EU policies has also expanded substantially over the years. Initially, common policies only covered four areas: trade policy, agricultural policy, transport policy, and competition policy. Today they also include areas such as monetary policy, energy policy, environment policy, development policy, and research policy.[14]

Between 1958 and 1968, the European Union made rapid progress toward a common market, establishing a customs union for goods and removing significant barriers to the free circulation of persons, services and capital. During the next fifteen years, there was no more deepening of EU integration. Instead, the European Union witnessed a process of widening with two enlargements (see table 1).

By the early 1980s, EU countries were suffering of "Euro-sclerosis," with slow growth and high unemployment, prompting some to predict that the European Union would soon disintegrate. The reaction came with the single market program (SMP) launched by Jacques Delors, the president of the European Commission, in 1985, which promised to complete the single market (the new name for the common market) by removing all remaining barriers to the free circulation

[14] For an overview of the process of European integration, see Carlo Altomonte and Mario Nava (2005), Baldwin and Charles Wyplosz (2009), Barry Eichengreen (2007), Willem Molle (2006), and Jacques Pelkmans (2006).

of goods, services, labor, and capital within the European Union by December 31, 1992. The "Europe 1992" project was clearly successful, as was the southern enlargement to Portugal and Spain in 1986.[15] Both boosted the EU economy and restored confidence in the EU project.

The SMP had a profound impact on the process of EU integration. Not only did it produce a single market with a size close to the U.S. economy, but it also created a situation where further integration became all but inevitable.

After the collapse of the Bretton system in 1971, most EU countries had sought to maintain stable exchange rates. In 1979, they set up the European Monetary System (EMS) that included an exchange rate mechanism (the ERM) designed to ensure stable exchange rates among its participants. With the freeing of capital movements, the SMP was bound to generate the so-called "Mundell trilemma," which identifies an intrinsic incompatibility between free capital movements, fixed exchange rates and monetary autonomy. The solution suggested by the 1989 Delors Report on Economic and Monetary Union in the European Community and forcefully argued by economists in the Commission of the European Communities (1990) "One Market, One Money" study was to give up monetary autonomy and to create a monetary union with a single currency. This solution was adopted politically by the Treaty of Maastricht (signed in 1992) and implemented with the introduction of the euro on January 1, 1999.

The southern enlargement had also important consequences. It created a North–South, center–periphery divide in a previously fairly homogenous European Union. This new heterogeneity, combined with the free circulation of products and production factors within the single market, produced two related issues already anticipated by Balassa in his discussion of Italy, the only EU country that qualified as both Southern and peripheral in the early 1960s. The first was the fear by peripheral countries that their nascent industrial activity would migrate from their region to the EU core in order to benefit from agglomeration economies, thereby dashing their hope of income convergence with the richer EU countries. This topic is dealt with in Balassa's chapter 9 on "Regional Problems in a Common Market," which is discussed below in section 3.3. The second issue was the equal fear by Northern workers of "social dumping" due to lower wages and social conditions in the South, a topic discussed in Balassa's chapter 10 on "Harmonization of Social Policies" and examined below in section 4.1.

After the completion of the single market and the start of the preparation for monetary union, the European Union witnessed three further enlargements bringing its total membership to twenty-seven (see table 1), including the two eastern enlargements (2004 and 2007) that significantly increased the degree of economic heterogeneity of the European Union.[16]

In contrast to the European Union, which has evolved from customs union to monetary union and from six to twenty-seven members, EFTA has remained a free-trade area and its membership has decreased fairly steadily (table 1). The decline was provoked by the departure of its largest member, the United Kingdom, in 1973 and continued thereafter despite the EU–EFTA free-trade agreement, also dating from 1973, which has remained in force ever since. With the

[15] Greece had already joined in 1981.

[16] Based on disposable income data for 1998, the Theil index of inequality *between* EU countries was 0.008 for the then fifteen EU members and 0.064 if one adds the twelve countries that joined the European Union in 2004 and 2007. See André Sapir et al. (2004).

TABLE 2
THE SHARE OF THE EU AND EFTA IN WORLD TRADE, 1961 (*percentages*)

	EU	EFTA	ROW	World
EU	9.2	5.3	9.9	24.4
EFTA	3.8	3.1	7.6	14.5
ROW	11.4	9.9	39.8	61.1
World	24.4	18.3	57.3	100.0

Notes: Rows indicate exports and columns imports. Definitions: EU—the six EU members in 1961; EFTA—the eight EFTA members in 1961; ROW—rest of the world.

Source: Own calculations based on GATT (1962).

departure of Austria, Finland, and Sweden in 1995, EFTA was reduced to four members—Iceland, Lichtenstein, Norway, and Switzerland—which all enjoy close economic relations with the European Union. The first three belong to the European Economic Area (EEA), an arrangement set up in 1994 that allows its members to participate in the EU single market in exchange for adopting all EU single market legislation (except on agriculture and fisheries). Switzerland has a different but fairly similar arrangement with the European Union.

In conclusion, although initially fairly similar size-wise, the European Union and EFTA have gone in opposite directions during the fifty years since their existence, with the European Union gradually completely dwarfing its EFTA cousin. Take trade for instance. In 1961, the share of EFTA in world trade (average of exports and imports) was two-thirds the European Union's share and the size of EU–EFTA trade was almost as large as intra-EU trade (table 2). By 2009, the situation was completely different, with the EU share now nearly twenty times larger than EFTA's and intra-EU trade eight times larger than EU–EFTA trade (table 3). These movements in opposite directions are the result of different EU and EFTA histories in terms of the depth and width of their integration that go back to their initial choice of objectives.

3. *The Welfare Effects of Integration*

The welfare analysis of integration originated with Viner (1950), which focused almost exclusively on the static effects of trade integration.[17] Balassa extended Viner's approach in two important directions. First, considering that economic integration would result in important gains due to economies of scale and increased competition, he suggested to use "dynamic efficiency as the primary success indicator [of integration], taking into account both changes in the efficiency of resource allocation in the static sense and the dynamic effects of integration" (p. 14). Second, Balassa emphasized the need to study the impact of integration on the geographical location of income and production within the area of integration.

[17] Balassa credits two European economists, the French Maurice Byé (1950) and the German Herbert Giersch (1949), for having published contributions on the theory of customs union at around the same time as Viner.

TABLE 3
The Share of the EU and EFTA in World Trade, 2009 (*percentages*)

	EU	EFTA	ROW	World
EU	25.1	1.4	11.2	37.7
EFTA	1.7	0.1	0.6	2.4
ROW	11.4	0.5	48.0	59.9
World	38.2	1.9	59.9	100.0

Notes: Rows indicate exports and columns imports. Definitions: EU—the 27 EU members in 2009; EFTA—the 4 EFTA members in 2009; ROW—rest of the world.

Source: Own calculations based on WTO (2010) and EFTA (2010).

The literature, however, largely ignored Balassa's contribution and focused almost exclusively on the Vinerian static effects for several decades. It only rediscovered the growth and location effects of integration in the late 1980s and early 1990s after the development of "new trade theory." Since the survey of the literature on (trade) integration by Baldwin and Venables (1995), all three effects—the static or allocation effect, the dynamic or growth effect, and the location effect—have become standard features of studies of integration.

3.1 *Static Effects*

3.1.1 *Theory*

Balassa considers three separate channels for the effects of integration on welfare: trade, terms-of-trade, and factor movements.

Every discussion of the static effects of trade integration inevitably centers on the concepts of trade creation and trade diversion introduced by Viner (1950).[18] Balassa (1961) is no exception to this. On the other hand, although also discussed by Viner, the effect of trade integration on the terms-of-trade of large FTAs or CUs is less systemically discussed in the literature.[19] Balassa approvingly quotes Meade (1955) for stating that "the larger the trading area which is negotiating as a single unit the better the commercial policy treatment which it can hope to exact in its bargains from other countries, and the better therefore its terms of trade with the rest of the world are likely to be" (pp. 64–65).

Balassa agreed, in line with the prediction of the factor price equalization theorem, that trade integration would reduce differences in factor prices within a customs union. However he firmly rejected the idea that trade alone would be sufficient to produce complete equalization.[20] He favored, therefore, the creation of a common market by arguing that "the mobility of labor, capital,

[18] See Panagariya (2000) for an extensive discussion of the literature on the static effects of trade integration.

[19] The first analytical treatment of the subject is by Robert A. Mundell (1964), which shows, using the standard three-country model, that if two countries offer each other mutual preferences, their joint terms of trade vis-à-vis the remaining country must improve.

[20] He even added that "dynamic changes such as disparate rates of productivity growth and changes in tastes, may reverse the tendency towards factor-price equalization" (p. 83).

and entrepreneurial resources leads to a more efficient use of economic resources . . . if the necessary actions are taken in order to avoid the perverse movements of productive factors" (p. 98). In particular, he endorsed an argument developed by the Ohlin Report (International Labor Office 1956) that "capital movements responding to differences in economic policies and to agglomeration economies" may lead to "perverse capital flows" (p. 95). However, he favored the instauration of complementary policies rather than the maintenance of barriers to capital movements partly defended by the Ohlin Report.

3.1.2 *European Integration*

There is an abundant literature attempting to measure the trade effects of European integration. Early contributions are reviewed by Petrus Johannes Verdoorn and C. A. Van Bochove (1972) and include Balassa (1967).

Norman D. Aitken (1973) was the first to use a gravity model to estimate the effect of the European Union and EFTA on European trade for the period 1958–67, a technique universally used in the empirical literature on trade integration ever since. Aitken found that both the European Union and EFTA had a statistically significant impact on trade, with the effect on their own members being much larger for the European Union than for EFTA. He also found that the European Union had a large detrimental trade diversion impact on most EFTA countries, but that the detrimental effect of EFTA on EU countries was small. This confirmed Balassa's prediction that the "formation of the two separate blocs . . . is likely to have an adverse effect on the economies of the [EFTA] countries" (p. 53), which he drew from the observation that intra-EFTA trade was originally relatively small, even smaller than EU–EFTA trade (see table 2).

Sapir (2001) redid Aitken's exercise for the period 1960–92, largely confirming that intra-EFTA and intra-EU trade both benefited from their respective integration schemes and that EFTA's exports to the European Union suffered from trade diversion during the period until 1972. Thereafter, with the first EU enlargement and the creation of the EU–EFTA FTA, the remaining EFTA countries did much better, their exports to EFTA partners and to EU countries suffering relatively little compared to intra-EU trade. This situation changed dramatically in the mid-1980s when the European Union widened (with the two southern enlargements) and deepened (with the "Europe 1992" project). Starting in 1989, EFTA's exports to both EFTA partners and to EU countries became significantly less attractive than intra-EU flows, posing a clear threat to EFTA countries whose exports were mainly destined to the EU market.[21] These findings lend empirical support to the theoretical intuition of Baldwin (1995) that the completion of the EU single market was responsible for a "domino effect" within Europe, triggering applications to EU membership by nearly all EFTA countries between 1989 and 1992.[22]

Recent empirical results by Scott L. Baier et al. (2008), using a variety of sophisticated econometric techniques to estimate gravity models for the period 1960–2000, confirm that EU membership "had an economically and statistically significant effect on trade among members between 1960 and 2000" (p. 492). By contrast, their estimated effects of EFTA are either nil or quite small.

There is also a considerable literature looking at the trade impact of EU integration

[21] These findings are confirmed by Baldwin and Roland Rieder (2007).

[22] Austria applied in 1989, Sweden in 1991, and Finland, Norway, and Switzerland in 1992. Only the first three countries joined the European Union in 1995. Norway and Switzerland rejected EU membership by referendum.

on different categories of products.[23] Its main finding is that trade creation has been the main feature in manufactured goods, whereas agricultural products have witnessed considerable trade diversion. The reason for these opposing trends, already noted by Balassa (1975), is the European Union's external trade policy, which has been reasonably liberal in the manufacturing sector but highly protectionist in agriculture.

In contrast to the enormous empirical literature on the impact of European integration on trade creation and trade diversion,[24] there has been surprisingly little work on the terms-of-trade effects. A major exception is the ex ante study of Howard C. Petith (1977), which uses the framework of Mundell (1964) to quantify the potential impact of European integration with the help of a very simple computable general equilibrium model. There are only two ex post studies using actual data. One is by Winters and Won Chang (2000), who find that countries outside the EU suffered small but detectable terms-of-trade losses relative to EU suppliers in Spain's import markets after its accession to the European Union. The other is by Stephen P. Magee and Hak-Loh Lee (2001), who find, for the period 1968–83, "virtually no evidence that EEC tariffs increased because of terms of trade effects" (p. 495).

One of the early questions raised in the empirical literature on European integration was whether the removal of trade barriers would lead to increased specialization *within* or *between* different sectors or categories of products, a subject first raised by Verdoorn (1960) in the context of the Benelux union.[25] Balassa only made a vague reference to this question in his 1961 book, but examined it in details five years later in a short but important paper that pioneered the term "intraindustry trade" and its measure.[26]

Balassa (1966) challenged the traditional view that tariff reductions among industrial countries would lead to interindustry specialization, arguing that this would only happen in the case of standardized products. Elsewhere tariff changes "would involve intraindustry rather than interindustry specialization" (p. 469).

Looking at manufacturing sectors for the period 1958–63, Balassa (1966) observed that changes in intra-EU trade associated with the reduction in intra-EU tariffs took the form of intraindustry specialization. This, he argued, implied "that we have to revise the conclusions derived from traditional theory regarding the welfare consequences of tariff reductions" (p. 471). In the case of intraindustry specialization, "the welfare effects of an increased exchange of consumer goods may now consist largely of improvements in the efficiency of exchange (the satisfaction of consumer wants) whereas specialization in narrower ranges of machinery and intermediate products will permit the exploitation of economies of scale through the lengthening of production runs. Correspondingly, in the absence of declining industries, the income redistributional effects of trade liberalization are expected to be smaller than in the traditional case" (p. 472).

The importance of intraindustry trade in intra-EU trade has grown considerably over time as a result of trade liberalization. Successive enlargements have also played an

[23] See, for instance, Alexis Jacquemin and Sapir (1988), Damien J. Neven and Lars-Hendrik Röller (1991), and Rakhal Sarker and Sampath Jayasinghe (2007).

[24] See Harald Badinger and Fritz Breuss (2011) for a recent survey.

[25] This topic was also discussed in the context of the European Union by Jacques Drèze (1960).

[26] The term "intraindustry trade" and its empirical measure were separately developed by H. G. Grubel (1967), which contains a detailed theoretical analysis of the phenomenon absent in Balassa (1966). However, it was not until Kelvin Lancaster (1980) and Krugman (1981) that the theory of intraindustry trade was fully developed. The measure Balassa proposed is widely known as the Balassa index of intraindustry trade.

important role. Typically new members had a low share of intraindustry specialization upon EU entry, which grew rapidly afterwards as a result of trade liberalization.[27]

The creation of the EU common, later single, market boosted not only trade but also foreign direct investment. Closer EU integration resulted mainly in intra-area investment creation (see George N. Yannopoulos 1990 and Mordechai Kreinin and Michael G. Plummer 2008), but there was also some external investment diversion, especially for EFTA countries after the implementation of the Single Market Programme, which probably contributed to the desire of these countries to join the European Union (see Baldwin, Rikard Forslid, and Jan I. Haaland 1996).[28] As was already the case with the southern enlargements in the 1980s, the eastern enlargements of 2004 and 2007 induced large capital flows from rich and old EU countries (the EU-15) to poorer new member states (the EU-12),[29] thus indicating that "Europe is different" than the global economy where capital tends to flow "uphill" from poor to rich countries rather than "downhill."[30]

By contrast, despite important labor market differences in terms of wage and unemployment conditions between EU countries, cross-border labor mobility rates in the European Union are typically low. According to Holger Bonin et al. (2008), the annual rate of mobility in the EU-27 in the mid-2000s was only 0.1 percent, whereas interstate mobility in the United States was in the range of 2 to 2.5 percent. As far as stocks are concerned, in most EU-15 countries foreign nationals from another EU-15 country comprise only a small share of the total population of foreign nationals. The largest part of the total population of foreign nationals consists of nationals from a non EU-27 country, with the share of EU-12 foreign nationals rising but still relatively low.

To the best of my knowledge, there has been no study attempting to measure the actual, as opposed to the potential, welfare implication of capital or labor mobility in the European Union either on individual countries or on the European Union as a whole. This is certainly an area that would deserve investigation.

3.2 *Dynamic Effects*

3.2.1 *Theory*

The idea that, due to the existence of economies of scale in production, the size of the market is an important determinant of economic growth goes back to Allyn Young (1928) building on the work by Adam Smith and Alfred Marshall. This idea was widely popular in the 1940s and 1950s, but it was considered to be relevant mainly for developing countries.[31]

The possibility that economic integration could raise growth because it increases the extent of the market was either ignored or dismissed by early writers on economic integration such as Viner and Meade. The first major author to fully articulate the linkages between economic integration, economies of scale and growth is Balassa, who devoted one third of his book to this question. He strongly argued that, by expanding market size, economic integration would result in large-scale economies leading to gains in productivity, but he was of the view that the "relationship between market size and productivity does

[27] See Balassa (1986), Sapir (1992), Marius Brülhart (2009), and Alberto Behar and Caroline Freund (2011).

[28] The concepts of investment creation and investment diversion are originally from Kindleberger (1966).

[29] The EU-15 refers here to the fifteen countries that were members of the European Union prior to the eastern enlargements that added twelve countries, referred to as the EU-12, to form the EU-27.

[30] See Ashoka Mody, Abdul Abiad, and Daniel Leigh (2007).

[31] See, in particular, P. N. Rosenstein-Rodan (1943), Ragnar Nurkse (1953), and W. Arthur Lewis (1955).

not imply, however, that integration is necessarily followed by a *sustained* increase in the rate of growth of productivity. It is conceivable that the fusion of national markets results in a once-for-all increase in productivity levels, when, after the end of a transitional period, the rate of increase in productivity . . . may return to its former level. Nevertheless, a transitional acceleration of productivity growth will also take place in this instance" (p. 108, emphasis in the original).

Balassa's reasoning was revived and formalized thirty years later by Baldwin (1989), who distinguishes between medium-term, transient growth effects of economic integration and long-term, permanent ones.

Because it increases economic efficiency, economic integration will typically increase the savings and investment rate, thereby raising the stock of capital and output. If capital faces diminishing returns, the positive effect on economic growth will be transient, lasting only during the period when the economy moves from the old to the new steady-state capital–labor ratio. This effect, called the "medium-term growth effect" by Baldwin (1989), does not depend on the existence of economywide scale economies, but they can enormously magnify it.

Building on the endogenous growth theory freshly developed by Paul M. Romer (1986)—who revived Young's original idea and added "knowledge capital" as a key production factor—Baldwin (1989) also considered the possibility of a "long-term growth effect" from economic integration. Such effect would occur in circumstances where, like in Romer's model, capital is not subject to diminishing returns, which makes continuous growth possible. The idea that economic integration between countries will raise the long-run rate of growth because it increases the extent of the market was also studied by Luis A. Rivera-Batiz and Romer (1991) in a model of endogenous growth where economic integration permits the exploitation of increasing returns to scale in the production of knowledge.[32]

3.2.2 *European Integration*

Balassa clearly "expected that integration will foster the growth of the European economies . . . [as a] result of various dynamic factors, such as large-scale economies of scale on a wider market, lessening of uncertainty in intra-area trade, and a faster rate of technological change" (pp. 5–6). The actual measurement of the dynamic effects of integration however received very little empirical attention during the early days of European integration. A major exception is Edward F. Denison (1967), which applied Solow's growth accounting framework to a number of European countries and found that total factor productivity accounted for a substantial portion of European growth.

One of the reasons for the lack of interest in quantifying the growth effect of European integration in the early days was perhaps that growth was simply not a major policy concern in those days. During the period between 1945 and 1975, EU countries witnessed an unprecedented period of growth, with GDP growing at an average annual rate of 4.6 percent.

Europe's Golden Age came to an end after the 1973 oil shock. During the period 1974–85, the average annual growth rate of GDP in EU countries slowed down to barely 2 percent.

Faced with anemic growth and employment conditions, the European Union decided in 1985 to launch the SMP. By removing barriers to the mobility of goods, services, labor, and capital and by expanding market size, the SMP was intended to foster competition and to reap the advantages of scale economies, and thereby to boost productivity and accelerate growth.

[32] Gene M. Grossman and Elhanan Helpman (1991) develop a similar argument.

The Cecchini Report (Commission of the European Communities 1988a) attempted to estimate the economic benefits of the Europe 1992 project but focused entirely on the static effects, viewing the growth effects as impossible to measure. It found that, by allowing a more efficient use of resources, the completion of the single market could raise EU output level by between 2.5 and 6.5 percent. Unknowingly following in the steps of Balassa (1961), Baldwin (1989) suggested that "the Cecchini Report significantly underestimates the economic effects of 1992, perhaps by an order of magnitude. In addition to the initial static effect . . . there will be a substantial 'medium-term growth bonus' as the static efficiency gains induce higher savings and investment . . . Furthermore, the 'new growth theory' suggests that growth rates may be permanently increased. My efforts to quantify this suggest that 1992 might add between 0.2 and 0.9 percentage points to the EC's long-term growth rate" (Baldwin 1989, p. 249).[33]

The Cecchini Report and Baldwin (1989) are ex ante studies. Ex post studies need to control for other effects besides economic integration. Since Panagariya, Claudio Montenegro, and Jaime de Melo (1992), this was done generally by using Barro-type growth regressions that include dummy variables to capture the effect of economic integration. Among the studies that examine the effect of European integration, Patrick Vanhoudt (1999) carries out panel-data regressions on twenty-three OECD countries to check whether EU membership had a positive impact on growth compared to developed countries that have not joined the European Union. He does not find evidence of a significant long-run growth bonus associated with EU membership. Also, his results do not support the hypothesis of a scale effect on growth. By contrast, Magnus Henrekson, Johan Torstensson, and Rasha Torstensson (1997) find that European integration has increased growth rates significantly, by around 0.6 to 0.8 percentage point per year. Somewhat surprisingly, they also find that the growth effects of EU and EFTA membership are similar. However, their results are not completely robust with respect to changes in model specification. The general conclusion from these and other similar empirical studies on the growth effect of European integration is that results are very sensitive to a number of factors, including sample composition (in terms of countries and years), model specification, and econometric technique.[34]

3.3 *Location Effects*

3.3.1 *Theory*

Drawing on the location theory literature, which emphasizes the importance of scale economies, Balassa acknowledged the arguments of several European economists that economic integration was likely to result in agglomeration effects. He considered, however, that the view of François Perroux (1958)—that early EU integration would benefit Germany and the Benelux countries at the expense of the West and South of France and most of Italy—was vastly exaggerated.

Balassa considered that the agglomeration effects of economic integration, which tend to favor "prosperous regions . . . located near the European economic center . . . [at the expense of] regions situated at the periphery of the area" would be compensated by "the "spread-effects" emanating from highly developed regions [which] would also benefit the backward areas" (p. 204). He argued that

[33] Baldwin (1992) acknowledges, however, that, although large when measured in terms of output, dynamic effects may be much smaller in terms of welfare.

[34] See Badinger (2005) for a recent review of the literature on the growth effects of EU integration.

these spread-effects—which "may take the form of increased demand for the underdeveloped regions' products, rising proportion of mobile external economies, transmission of technological knowledge, and relocation of plants in response to wage differences" (p. 204)—would tend to become more powerful at a higher stage of development.

Taking into account both the polarization and the spread effects, Balassa considered that, in a union of developed countries such as the Six, economic integration is "likely to lead to a reduction of regional disparities, *on the average*. Nevertheless, this does not mean that the relative position of *some* low-income regions may not deteriorate . . . in the absence of regional development policies" (p. 204, emphasis in the original).

Balassa's argument that the outcome of economic integration on the location of economic activity within the integrated area depends on two competing effects—agglomeration linked to scale economies and trickle-down associated with differences in factor endowments—and that their relative importance varies depending on the stage of development was revived thirty years later by Krugman and various coauthors of the "new economic geography" literature.

In a paper inspired by the North–South, center–periphery divide created by the EU southern enlargement, Krugman and Venables (1990) present several models that share the following features. There are two economies: a small "periphery" and a large "center." Each economy has two sectors: "agriculture," where production takes place under perfect competition and constant returns to scale, and "manufacturing," where production is subject to increasing returns to scale and imperfect competition prevails. Using these models, the authors conduct the following experiment: starting from an initial situation of low economic integration between the two countries, they progressively lower trade barriers and observe the effect of economic integration on manufacturing production in the periphery. With some of the models, liberalization has the following *U*-shaped effect: the initial lowering of trade barriers results in the contraction of manufacturing production in the periphery to the benefit of the center whose size confers cost advantages in the production of products subject to increasing returns to scale; later on, however, as trade barriers become negligible, market size becomes less relevant and manufacturing production moves back to the periphery that enjoys lower wages. These ideas are further developed in Krugman (1991) and Masahisa Fujita, Krugman, and Venables (2001).

3.3.2 *European Integration*

The paper by Krugman and Venables (1990) was directly inspired by the events in the European Union during the 1980s that saw both the southern enlargement with the creation of a North–South, core–periphery divide inside the European Union and the deepening of the process of integration with the launching of the SMP. A question present in the minds of many people at the time was whether the new, geographically peripheral southern EU countries could withstand the combined effect of accession and completion of the single market. A related question was whether incomes in the South would converge toward those in the North, or instead whether the South would remain relatively poor and, if so, whether this would generate large flows of labor from the South to the North. There were also interrogations as to whether the reverse might occur, with industrial jobs moving from the high-wage North to the low-wage South.

Prior to the southern enlargement and the start of the SMP, there was remarkable convergence among EU countries. Dan Ben-David (1993) finds that, during the period 1958–85, the average income dispersion

among the original six EU members decreased significantly, whereas there was no convergence among the 107 market economies in his sample or even among the fourteen countries with incomes equivalent to the Six. Ben-David provides compelling evidence of a causal relationship between trade liberalization and income convergence inside the European Union, which he attributes to the working of the factor price equalization theorem.

Income convergence was also a feature of Greece, Portugal, and Spain after they joined the European Union. There is much controversy, however, as to whether convergence came about simply through liberalization or thanks to the massive assistance they received from the EU budget, partly as a result of suggestions by Krugman and Venables (1990) that these peripheral countries might suffer from liberalization.

As far as location is concerned, observing that manufacturing industry was far more geographically concentrated in America than in Europe, Krugman (1991) argued that the creation of an integrated single market was likely to increase specialization in the European Union, especially in sectors operating under increasing returns to scale. Furthermore, he argued that, since specialization was supposed to increase, interindustry trade would also increase. These hypotheses were tested by several authors. Sapir (1996) finds that, by 1992, the SMP had produced only modest intersectoral shifts in the pattern of specialization within EU manufacturing. He reasoned that this may have been the result of problems in the implementation of the SMP or simply the continuation of earlier trends in EU integration toward greater intraindustry specialization. Mary Amiti (1999) also finds modest increases in country specialization and geographical concentration of industrial production since the start of the SMP.

Pierre-Philippe Combes and Henry G. Overman (2004) conclude from their extensive survey of the literature that the bulk of the evidence suggests that EU countries are only slowly becoming more specialized. Regarding the comparison between the economic geography of the European Union and the United States, they insist that substantial differences in two factors—the integration of product markets and the mobility of labor—would suggest very different situations. Unfortunately, the lack and quality of relevant data in Europe do not permit to assess whether these two factors actually imply that the economic geography of the European Union and the United States are different. Brülhart (2011) also concludes from his survey of the spatial effects of trade openness that solid causal evidence on the location effect of European integration remains elusive.

4. *Incomplete Integration: Supranational Institutions and Policies. How Far Should (European) Integration Go?*

Economic integration is a process. As such, it is likely to be incomplete at any point in time not only because some economic obstacles between countries remain but also because it may lack coherence.

The process of economic integration can lack coherence due to the fact that simply removing economic obstacles between countries may not be sufficient to produce economically desirable outcomes, either because the presence of market imperfections prevents efficient outcomes or because such outcomes have distributional consequences (between and within countries) that make them politically unfeasible. There may also be situations where liberalization produces undesirable macroeconomic results or, conversely, where poor macroeconomic policies may have a negative impact on market integration. In all these instances, the

removal of economic obstacles will need to be accompanied by appropriate flanking policies designed to enhance economic efficiency, ensure sufficient equity or provide sufficient stabilization. In other words, market integration is likely to require some degree of policy integration, and the greater the extent of market integration the greater the need for policy integration is likely to be.

Balassa approved the principle of state intervention in situations such as "the avoidance of depressions, the maintenance of full employment, the problems of regional development, the regulation of cartels and monopolies, and so forth" and recognized therefore that "any attempts to integrate national economies would necessarily lead to harmonization in various policy areas" (p. 9).

In Europe, until the early 1980s, policy integration implied the creation of common policies, rules, and procedures giving the EU level a modicum of responsibility in allocative, distributive, and stabilization functions.

Besides the common commercial policy, the common agricultural policy (CAP), and the common transportation policy, all three considered as integral to the very existence of the common market, the greatest policy responsibility given to the EU level was in the area of allocative efficiency. From the start of integration, the EU executive has been in charge of policing actions by firms (antitrust) and by states (state aid control) that distort competition in the common market. Balassa clearly favored this, arguing that "integration will be conducive to competition, but the benefits of increased competition can be safeguarded only by instituting appropriate measures against restrictive practices" (p. 167).

In the area of distributive policy, the original EU treaty conferred no regulatory responsibility to the EU level besides ensuring that member states respect the principle of equal pay for equal work for men and women. However it extended significant budgetary responsibility to EU bodies to fund employment opportunities for workers and finance projects in less developed regions.[35]

The Treaty of Rome also contains certain provisions regarding the coordination of stabilization policies among national member states, with a special emphasis on external stability. It calls on each member state to "pursue the economic policy needed to ensure the equilibrium of its overall balance of payments and to maintain confidence in its currency."[36] Toward this end, it invites member states to "coordinate their economic policies . . . in the monetary field to the full extent needed for the functioning of the common market."[37]

During the 1980s, the combination of poor macroeconomic conditions, the southern enlargement and the SMP suddenly called into question the prevailing balance between market and policy integration, first in the field of social policy, then in the area of regional policy. But the biggest consequence of the advance in market integration generated by the SMP was in the field of monetary integration.

Having already examined regional policy in the previous section, the remainder of this section focuses on social harmonization and on monetary integration, subjects on which Balassa devoted two separate chapters in the third part of his book.[38]

[35] The CAP, which involves both regulatory measures (in particular trade policy) and important EU budgetary outlays, can also be considered as a distributive policy in favor of farmers.

[36] Article 104.

[37] Article 105.

[38] For a description and a normative economic analysis of the allocation of competence between the EU and the member states, see Mathias Dewatripont et al. (1995), Alberto Alesina, Ignazio Angeloni, and Federico Etro (2005), and Alesina, Angeloni, and Ludger Schuknecht (2005).

4.1 *Social Harmonization*

The debate as to whether EU integration calls for the harmonization of social policies has a long and rich history that starts in the 1950s. The idea that social harmonization should be a precondition for the common market was rejected by the Ohlin Report (International Labor Office 1956), whose view was basically shared by the drafters of the Treaty of Rome. As a matter of fact, the treaty nowhere mandates that social policies be harmonized before, during, or after the removal of barriers to free circulation within the common market. The single exception concerns equal-pay legislation for men and women, which Balassa deplored fearing that it "will distort competitive cost relationships rather than remedy allegedly existing distortions" (p. 215). On the other hand, he favored some degree of harmonization of state-financed social benefits, although he recognized that such harmonization "in a union comprising advanced and underdeveloped economies would be detrimental to the interests of the latter, inasmuch as it would impede the flow of capital from developed to backward economies" (p. 226).[39]

The issue of social harmonization, including equal-pay statutes, was largely ignored during the period 1958–73, primarily a result of highly favorable economic and social conditions in the six EU countries. After 1973, the steady increase in unemployment rates throughout the European Union produced some demands for a "social dimension" of European integration, but not much happened for another decade.

In 1986, when the European Union adopted the Single European Act, revising the treaty of Rome in order to facilitate the creation of the single market in a European Union that now counted twelve members, it added two new articles in the area of social policy, including one on the harmonization of occupational and health standards. Two years later, the European Commission published a report entitled "The Social Dimension of the Internal Market,"[40] which eventually led to the so-called "Social Charter" designed to protect certain fundamental workers' rights throughout the European Union. The charter was attached to the Maastricht Treaty in 1992, but with a British opt-out clause. Finally, it was included in the Lisbon Treaty of 2007, making it legally binding in all EU states since 2009. In spite of this, the heterogeneity of social policies in the European Union is now bigger than ever due, in particular, to the eastern enlargements.[41]

Despite the lack of significant social harmonization in Europe, it would be wrong to assume that the subject of "social dumping" has gone away. On the contrary, it remains a major hindrance to the completion of the single market in services that require labor mobility to be internationally traded. The fear of cheap labor coming from Eastern Europe is often epitomized by the mythical "Polish plumber" who was viewed as a major reason for the rejection of the EU constitution by French voters in 2005.

Some economists conclude from this that "[t]o preserve both redistribution and economic integration, elements of social policy must be centralized or coordinated. In an integrated European economy, decision-making power in the social field must not be exclusively national, for this would either make social policy ineffective or, more realistically, let calls for protection from foreign social dumping strengthen old and new barriers to trade and factor mobility" (Giuseppe Bertola 2007, p. 114), but this conclusion

[39] This point was already made by Ohlin (1958).

[40] See Commission of the European Communities (1988b).

[41] On this issue, see Sapir (1995).

remains controversial given the variety of social models within the European Union.[42]

4.2 *Monetary Integration*

In the late 1950s and early 1960s, there were intense discussions in the economic literature about whether market integration implies monetary integration and whether in turn monetary integration implies political integration, the subject of Balassa's last chapter entitled "Monetary Unification and the Balance of Payments." The two fundamental contributions to this early discussion on monetary union are the papers by Meade (1957) and Mundell (1961).

Meade was a strong proponent of European free trade but was concerned about how to combine it with full employment and balance-of-payments equilibrium, which he viewed as the main objectives of economic policy. He argued that, during the initial stage of European integration, when only trade barriers can realistically be removed and labor mobility remains low, flexible exchange rates are essential "for dealing with European balances of payments without preventing European free trade or destroying European full employment" (Meade 1957, p. 395). At the same time, he recognized that member countries may be tempted to manipulate their exchange rates to gain some commercial or other advantage that their balance-of-payments position does not really require. Partly to avoid this danger, Meade recommended the creation of a "European Monetary Fund" that would be "under some form of independent "supranational" management of a technical banking character" (Meade 1957, p. 395) and would intervene on currency markets to ease the balance-of-payments adjustments of the members.

However, as Europe became more integrated, Meade considered that it would be appropriate for its member states to shift from flexible to fixed exchange rates, but only if integration "involves—in addition to the formation of a common market for goods and for factors of production and the provision of much greater international liquidity for European monetary authorities—a very extensive range of powers for what would amount to a single European government. Such a government would have to be able to control central-bank monetary policy and governmental budgetary policy throughout Europe, to determine a single European commercial and exchange-rate policy vis-à-vis third countries . . . This is in my opinion ultimately desirable; let us hope that it will prove ultimately practicable; but it is not a starter at the moment, and it would be a great shame to sacrifice the present real political possibilities of building a commercial free-trade area to this ideal of simultaneous monetary and budgetary integration" (Meade 1957, pp. 387–88).

In his 1961 article on optimum currency areas (OCAs), Mundell raised a similar question: "supposing that the Common Market countries proceed with their plans for economic union, should these countries allow each national currency to fluctuate, or would a single currency area be preferable?" (p. 657). This he argued boils down to the question whether the European Common Market is an optimum currency area in the sense that it constitutes a region defined as an area with internal factor mobility and external factor immobility. "The question [of the single currency] thus reduces to whether or not Western Europe can be considered a single region, and this is essentially an empirical problem" (p. 662).

Contrary to what is often alleged, Mundell (1961) does not claim that the degree of factor mobility is the sole criterion for determining the optimum number of currencies. In his paper, three other criteria are implicit

[42] See Sapir (2006) on the variety of European social models.

that relate to the fact that the loss in terms of stabilization due to the creation of a single currency is higher when macroeconomic shocks are more asymmetric between countries; when the size of countries is large, and therefore the exchange rate instrument is more powerful for offsetting such shocks, a point later emphasized by Ronald I. McKinnon (1963); and when other adjustment mechanisms, such as a common fiscal system later emphasized by Peter B. Kenen (1969), are absent or inoperative.

Balassa was apparently not aware of Mundell's OCA article published the same year as his book. On the other hand, he discusses extensively Meade's 1957 article, whose thesis he broadly endorses. Although much less enthusiastic than Meade toward flexible exchange rates, Balassa nonetheless agreed that flexible rates would be useful during the transition toward economic union. According to Balassa, once market integration is achieved there will be a need for coordinating monetary and fiscal policies to avoid negative spillovers between union members, which in turn would necessitate, as a minimum requirement, "instituting an intergovernmental body whose decisions do not require unanimity yet are binding for the member states" (p. 272). This would be "sufficient to ensure the satisfactory operation of an economic union without . . . political unification" (pp. 272–73). Optimal operation, writes Balassa in the last sentence of the book, would, however, "require the suppression of every conceivable form of discrimination between the economic units of the member states and necessitates adopting a supra-national approach that is associated with political unification, possibly in the form of a federation of states" (p. 273).

After the initial contributions in the late 1950s and early 1960s, the economic literature on monetary unification went in a state of dormancy for three decades. It revived after the 1992 Maastricht treaty on Economic and Monetary Union (EMU), which led to the creation of the euro.[43]

From the viewpoint of the early contributions by Meade and Mundell, the Maastricht architecture of EMU is flawed for two reasons that have an important bearing on the eurozone crisis that started in 2010 and is likely to shape the future of EMU, or even the future of the European Union. First, contrary to the view of Meade shared by Balassa, EMU lacks not only full political unification but even fiscal union or elements thereof. Second, the criteria for adopting the euro bear no resemblance to the OCA criteria put forward by Mundell and his followers.

4.2.1 *Two Flaws in the Architecture of EMU*

Since the creation of the European Monetary System (EMS) in 1979 by French President Giscard d'Estaing and German Chancellor Schmidt, France and Germany have always been at the center of European monetary integration even though their views and interests often diverge.[44]

Before Maastricht, the prevailing view in Germany was that political union ought to precede monetary union. The German attitude was generally viewed by the French as an excuse for delaying, perhaps forever, the monetary union, something France wanted to achieve rapidly because it meant that its monetary policy would no longer be decided by the Bundesbank alone, as was the case in the EMS, but by the European Central Bank where France and Germany would be equal partners.

[43] The "revivalists" include Paul De Grauwe (1992), Eichengreen (1993), Daniel Gros and Niels Thygesen (1998), Kenen (1995), and Krugman (1993).

[44] See Francesco Giavazzi and Alberto Giovannini (1989) for a detailed analysis of the EMS.

This does not mean that France was not interested in political union, but rather that it viewed monetary union as more pressing at that time than political union, and perhaps as a step toward such union. While France had already lost its monetary autonomy when it joined the EMS, Germany enjoyed real monetary sovereignty thanks to an independent Bundesbank and a strong currency. In economic terms, however, the strong German Mark was not always viewed favorably by German exporters, especially when other European countries had weaker currencies. Economically therefore there were forces in Germany in favor of monetary union because it would guarantee that German competitiveness vis-à-vis other EU countries would not suffer from a strong national currency, but politically the sentiment in Germany was that it risked giving up its currency and its central bank, the most tangible signs of the postwar German miracle for most of its citizens, in exchange for nothing at best and at worst for a common currency that could only be weaker than the D-Mark. Hence the German demand for political union as a precondition to monetary union.

The view that political union ought to precede monetary union was set aside by the Delors (1989) Report, which considered that it was desirable and possible to create a monetary union among the sovereign states of Europe, provided it entailed "*effective coordination* of [policies remaining within the competence of] separate national authorities" (p. 10, emphasis added). In particular, the Delors Report called for "macroeconomic policy coordination, including *binding rules* for budgetary policies" (p. 16, emphasis added).

The compromise reached in Maastricht in 1992 gave France and Germany something they each strongly wanted. France got a commitment that monetary union would start no later than 1999 while Germany obtained that entry into the monetary union and its functioning would be subject to conditions ensuring the stability of the common currency.[45]

The Maastricht treaty created a monetary union with no real transfer of competence from national to EU authorities outside monetary policy. It foresees no political counterpart to the European Central Bank, no integrated financial supervision or any common fiscal mechanism for the resolution of financial crises, and even prohibits bailing out eurozone countries with budgetary problems.[46] It simply contains limited provisions on economic coordination and fiscal rules that reflect the spirit, though not quite the letter, of the Delors Report although the fiscal rules were later reinforced by the Stability and Growth Pact.[47]

After the Maastricht treaty and the decision to launch the euro, the debate on the link between monetary and political union shifted focus from whether political union was a necessary precondition to whether it was the inevitable consequence of monetary union. Some, like Eichengreen (1996), argued that monetary union would not necessarily imply political union, while others, like Alesina and Romain Wacziarg (1999), defended the opposite view. Many American economists shared the view that "Europe . . . has taken a gamble in placing monetary unification so far ahead of political unification" (Maurice Obstfeld 1997, p. 29).[48]

Despite such warning, EMU seemed to function relatively smoothly after the euro

[45] See Jean Pisani-Ferry (2006) for a discussion of the French and German views on EMU and the Maastricht compromise.

[46] See Jürgen von Hagen (1993) for an early contribution on the relationship between monetary and fiscal union after the decisions to create EMU.

[47] See Roel Beetsma and Massimo Giuliodori (2010) for an extensive discussion of EMU's macroeconomic framework and its costs and benefits.

[48] See Lars Jonung and Eoin Drea (2010) for an extensive discussion of the debate among American economists on EMU and the euro.

was launched.[49] Hence, there was a general feeling that perhaps monetary union could do without political union after all. This feeling was questioned however by Tommaso Padoa-Schioppa, one the founding fathers of the euro and a member of the ECB's executive board, who described the euro as "a currency without a State," a theme later elaborated by Otmar Issing, a fellow ECB member.

Issing (2006) asked whether European monetary union can work and survive without a fully fledged political union. His answer was: "yes, it can. It is possible that, over the very long term, strong elements of a political union may (need to) emerge, but for the time being Economic and Monetary Union (EMU) can proceed perfectly well without a political union in the form that we understand today" (p. 2). Issing nonetheless insisted that, from a purely economic perspective, two conditions were essential to make monetary union work: flexible markets to enhance the ability of individual countries to respond to specific circumstances and economic shocks; and a rigorous and consistent application of the Stability and Growth Pact in order to ensure fiscal discipline.

Given the relatively smooth functioning of EMU and the broad acceptance of the view expressed by Issing, the question of the need for political union to buttress EMU was hardly ever raised in European circles up to the eurozone crisis in 2010.

The second problem with Maastricht concerns the criteria for joining the monetary union. The Maastricht criteria bear little resemblance to the OCA criteria. The latter emphasize the importance of economic integration and of real convergence among the candidates to monetary integration, whereas the former insist instead on nominal convergence. What matters for Maastricht is inflation, exchange rates, interest rates, and public finance, not structural differences and asymmetric shocks.

The reason for the insistence of Maastricht on nominal rather than real convergence lies in the fact that EMU was less about creating a *single* currency than a *stable* common currency, a currency like the D-Mark. The Maastricht criteria are therefore essentially designed to ensure that countries joining the euro are able to live within an environment of low inflation, similar to what Germany and the countries in the DM-dominated EMS enjoyed before monetary unification.

Ignoring the OCA criteria had important consequences.

The revival of the OCA literature induced by Maastricht came mostly in the form of empirical studies, which it had lacked previously, rather than as challenges to the existing theory. The new OCA literature attempted to assess the importance of structural differences and of asymmetric shocks between the then EU-15 countries. The main result was that these countries fall into two groups: a "core," comprising of Germany, France, the Benelux countries, Austria, and Denmark, where shocks are highly correlated and the speed of adjustment is relatively fast; and a "periphery," comprising of Italy, Spain, Greece, Portugal, Ireland, Finland, the United Kingdom, and Sweden, where shocks are larger and more idiosyncratic, and the speed of adjustment is slower.[50]

Based on the Maastricht criteria, eleven of the EU-15 countries were judged ready to adopt the euro in 1999, with Greece being admitted two years later. Since the other three EU members were not interested in joining the euro at the time, it can be safely concluded that the Maastricht criteria

[49] See, however, the early warnings by Wyplosz (2006).

[50] See, in particular, Tamim Bayoumi and Eichengreen (1993, 1996, 1997). Mario Forni and Lucrezia Reichlin (2001), however, strike an important note of dissent with their finding that the "core" consists not of nations but of regions belonging to different countries.

did not split the European Union into two groups, a "core" and a "periphery."[51]

Had the OCA theory criteria been used instead, only the DM-area countries (Germany, France, the Benelux countries and Austria) would have qualified initially, and the EU-15 would have been split into a "core" and a "periphery," with Italy, Spain, Greece, Portugal, Ireland, and Finland outside the eurozone.

The possibility of such a split was real and raised concern among some economists, especially from the "periphery." For instance, José Viñals (1996) addresses the potential consequences of a narrow EMU on the excluded countries and finds that "there is a real risk of an unfavorable effect on the economies of [these] countries, provoked by financial markets turning their backs on their currencies. If this were to happen, there would be a danger that the countries excluded from EMU would undergo unwanted currency depreciations and higher interest risk premia that would adversely affect inflation and the budget deficit" (pp. 1108–09). The paper concludes that a EMU going beyond the "core" countries is absolutely necessary. "At stake is not only the chance to create a monetary union that is adequately representative of Europe, but also the preservation of the integrity of the Single Market" (p. 1109).

In addition, several reasons were given for ignoring the potential costs of monetary union put forward by the OCA theory. One reason was that macroeconomic shocks were seen as less likely inside the monetary union because of the elimination of shocks induced by national central banks. Secondly it was hoped that shocks would become less asymmetric because the introduction of a single currency would induce real convergence by boosting intraindustry trade, as suggested by Jeffrey A. Frankel and Andrew K. Rose (1997). A third reason was that the exchange rate instrument had anyway lost its usefulness as a tool for offsetting shocks due to the liberalization of capital controls. A final reason was that, although EMU lacked a common fiscal instrument, national automatic stabilizers were viewed as sufficiently capable of absorbing asymmetric shocks, especially after the introduction of the Stability and Growth Pact, which was meant to increase the fiscal room for maneuver in bad times.[52]

Once again, given the relatively smooth functioning of EMU, the warnings of the OCA literature were hardly ever raised in European circles up to the eurozone crisis in 2010.

4.2.2 *The Eurozone Crisis*

In the run-up to monetary union, the Maastricht criteria produced a great deal of nominal convergence among EU countries. By the time the euro was launched in 1999, for instance, yields on government bonds had more or less converged to the German level, implying that financial markets made very little difference between core and periphery countries (see figure 1). This happy situation, with spreads on ten-year government bonds versus German bunds consistently remaining below 100 basis points for all the eurozone countries, lasted until the start of the global financial crisis in September 2008. Then in a matter of a few weeks huge spreads began to appear between core and periphery countries, as markets realized that peripheral countries had accumulated huge debts and lost competitiveness vis-à-vis core countries, especially Germany. As a result, investors demanded spreads of more than 200 basis points in Greece and Ireland and

[51] The three countries are Denmark and the United Kingdom, which were allowed to opt out of EMU by the Maastricht treaty, and Sweden, which although it does not benefit from an opting out clause, has chosen to remain outside EMU for an indeterminate period.

[52] These arguments are further developed in Marco Buti and Sapir (1998).

Figure 1. Dispersion in Ten-Year Government Bond Yields for Core (Austria, France, Germany, and Netherlands) and Periphery (Greece, Ireland, Italy, Portugal, and Spain) Eurozone Countries: Maximum and Minimum Yields (Percentages)

more than 100 basis points in Italy, Portugal, and Spain. But this was only a warning shot.

The eurozone crisis started in earnest in January 2010 with Greek spreads reaching 300 basis points after it was revealed that the country's public finances were far worse than previously thought and when it became clear that the eurozone was facing a sovereign debt crisis but lacked a framework and instruments to solve it. After several months of hesitation, the eurozone finally cobbled together a package of assistance for Greece but by then the sovereign debt crisis had spread to Ireland and Portugal, with Spain and Italy being also affected. In May 2010, the eurozone took a bold step. It set up the European Financial Stability Facility (EFSF), a sort of European Monetary Fund capable of providing financial assistance to eurozone countries in difficulty. By summer 2011, the eurozone crisis was still in full swing, and the EFSF had provided assistance to two eurozone countries, Ireland and Portugal, and extended further assistance to Greece.[53]

Although temporary and purely intergovernmental, the EFSF is an important step toward a common fiscal mechanism for the resolution of crises that the eurozone had previously lacked. From 2013, it will be turned into a permanent European Stability Mechanism (ESM). Along with fiscal solidarity in case of crisis the eurozone is beefing up its crisis prevention framework with the creation of new (EU) mechanisms for financial stability and the imposition of new

[53] In August 2011, spreads reached highs of 1,600 basis points in Greece, 1,000 in Portugal, 800 in Ireland, and 400 in Italy and Spain.

constraints on national economic policies of eurozone countries in particular in the fiscal area. There are also serious discussions about the creation of "Eurobonds" that would be issued jointly by eurozone members. Each of these innovations, which were politically unthinkable before the crisis, constitutes a piece toward "a collective mechanism of mutual support and control . . . [which] exists in a political union" (De Grauwe 2011, p. 28).[54] So Balassa was right. Some form of political unification must go hand-in-hand with monetary union.

5. *Conclusion*

As this review has attempted to show, Balassa's *Theory of Economic Integration,* published fifty years ago, must be regarded as an essential contribution to the understanding of the historical process of European integration and to the literature on economic integration. It anticipated many future developments in both domains, missing only a few.

Although published only three years after the start of the EEC and one year after the birth of EFTA, the book rightly viewed that the two projects would succeed in spite of many potential political obstacles that it chose to ignore preferring instead to concentrate on the economic effects of the two schemes. As far as the EEC is concerned, Balassa quite clearly considered that it would become first a CU, then a common market, and later on an economic union. He also held at least implicitly that it would reach the last stage of integration and become a political union. He was explicit however that political unification should precede or at least go hand-in-hand with monetary unification and that doing otherwise would be problematic as indeed it has proved to be with the euro.

Regarding EFTA, Balassa imagined possible "the transformation of the free-trade area into a higher form of integration" (p. 79). He was wrong and right. The EFTA as such has never tried to transform itself and remains fifty years after its creation of a FTA. However, many of its members have left to join a higher form of integration, the European Union, and those which remain in EFTA individually form a common market with the European Union but not among themselves.

As far as the literature on economic integration is concerned, the analysis of economies of scale in Balassa's book is the unacknowledged forerunner of the important work that started in the 1980s after the formal introduction of economies of scale and imperfect competition in the economic literature.

Balassa did not introduce economies of scale in the Vinerian analysis, which he uses in the first part of his book to assess the static effects of integration. This addition to the literature only came first with W. Max Corden (1972). Nor did the book discuss the effects of integration on intraindustry specialization in sectors with scale economies. This only came with Balassa (1966) and Grubel (1967) after there was sufficient data to start measuring the trade effects of European integration.

Instead, Balassa focused his attention on economies of scale and the dynamic effects of integration, devoting the second part of his book to the subject. He clearly predicted that the dynamic effects of integration would be far more important than the static effects, an intuition first confirmed by Baldwin (1989) in the context of European integration and now widely accepted.

Balassa also examined the impact of the presence of economies of scale on the effect

[54] This being said, many economists had predicted that the political viability of the euro would require new institutional structures in case of a crisis. See, for instance, Philip R. Lane (2006).

of economic integration on the regional location of economic activity. The book argued that there would be two competing effects—agglomeration linked to scale economies and trickle-down associated with differences in factor endowments between regions—and that their relative importance would vary depending on the stage of development, an idea rediscovered thirty years later by Krugman and Venables (1990) and other contributors to the "new economic geography" literature.

Another important contribution of the book is the discussion on the allocation of competence between the union and its member states in a number of policy areas, such as regional policy, social policy, tax/fiscal policy, and monetary policy, which has proved highly relevant for the EU experience. What is lacking, however, in the book is a conceptual framework, such as fiscal federalism, to systematically organize the discussion on which policies are best centralized and which are best decentralized.

Balassa's book has stood well the test of time. All those interested in the field of economic integration and in the process of European integration would do well to read it.

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